



dino
najbliżej Ciebie

1H 2019 Financial results

19th August 2019

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Our achievements in 1H 2019



+81 stores
(+74 in 1H 2018)



+25.5% net sales area y-o-y
(+26.4 in 1H 2018 y-o-y)



+30.5% sales y-o-y
(+34.5% in 1H 2018 y-o-y)



+11.1% LFL y-o-y
(+14.7 in 1H 2018 y-o-y)



+36.8% EBITDA¹ y-o-y
(+37.7% in 1H 2018 y-o-y)

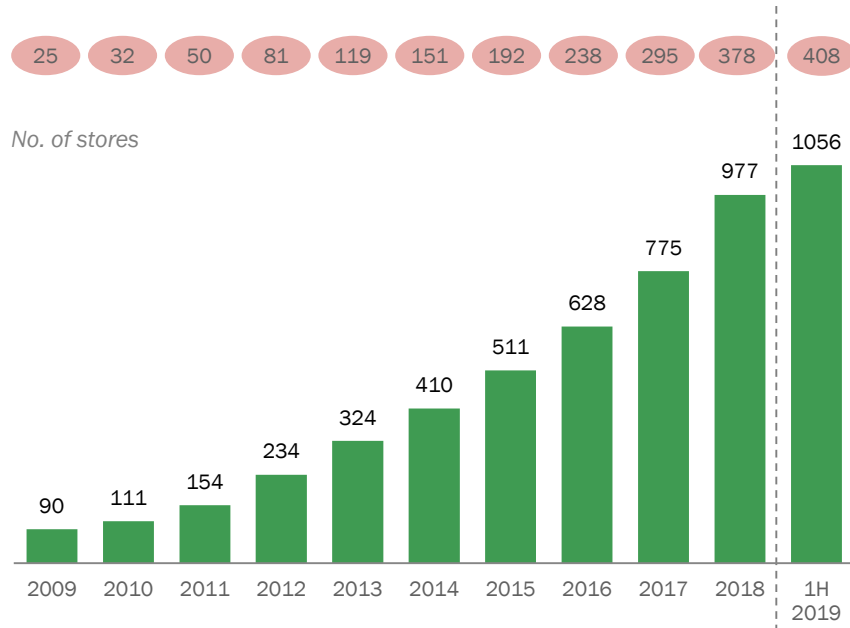


+0.4pp EBITDA¹ margin y-o-y
(+0.2pp in 1H 2018 y-o-y)

Network expansion – higher number of stores and geographic composition

Network expansion to date

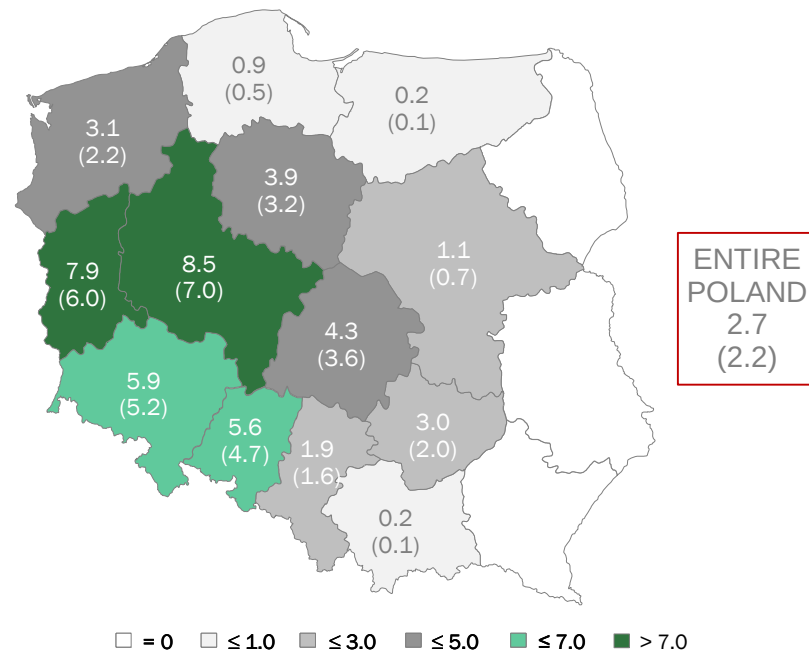
Net sales area ('000 m²)



Source: Company information

Regional coverage

Stores per 100k inhabitants as of June 31, 2019 (in brackets as of June 31, 2018)



Significant growth of LFL sales

Annual
Inflation
(deflation) %

(0.9)

(0.3)

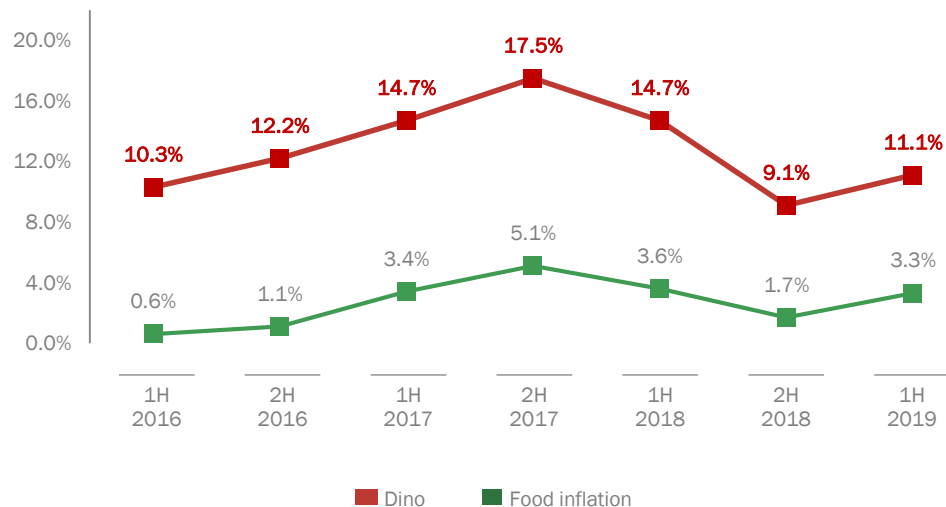
1.9

2.1

1.6

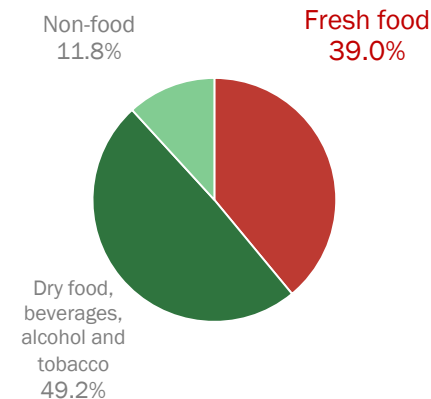
1.7

1.8



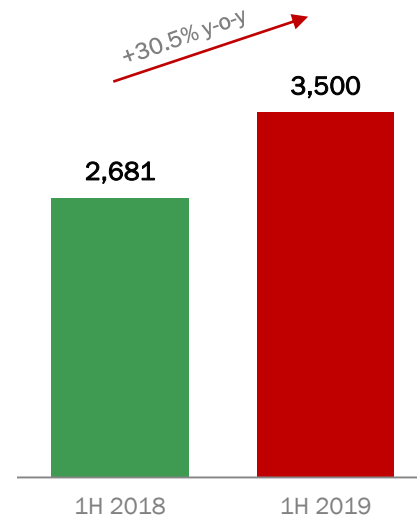
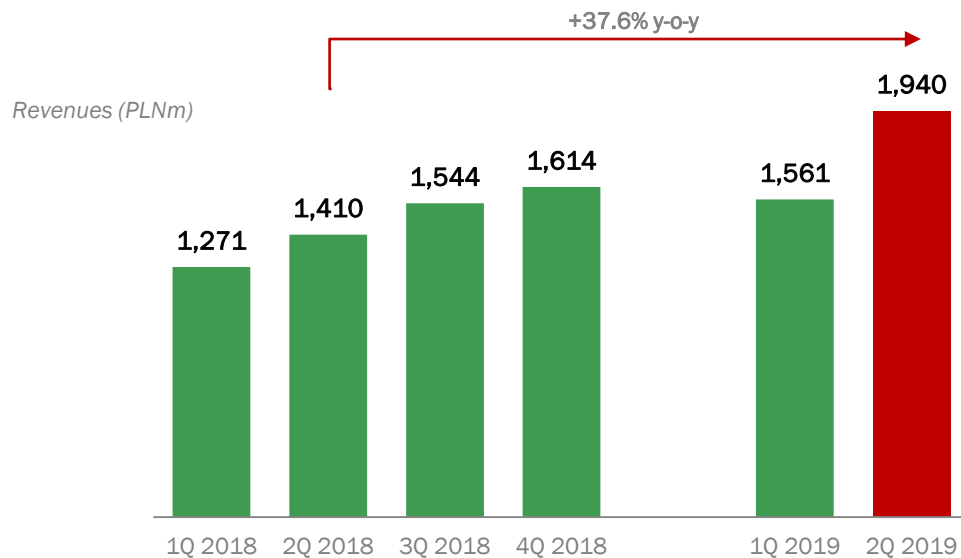
Sales mix

Product split by revenue (1H 2019)



Source: Company information, Central Office of Statistics (GUS)

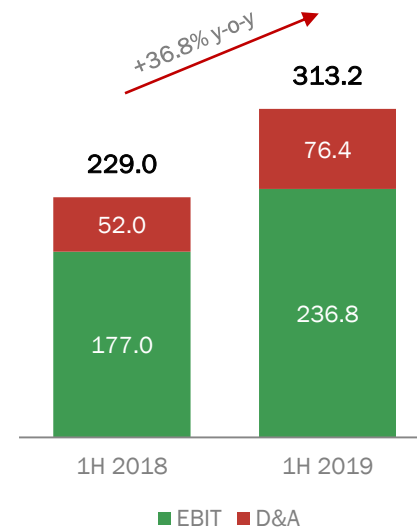
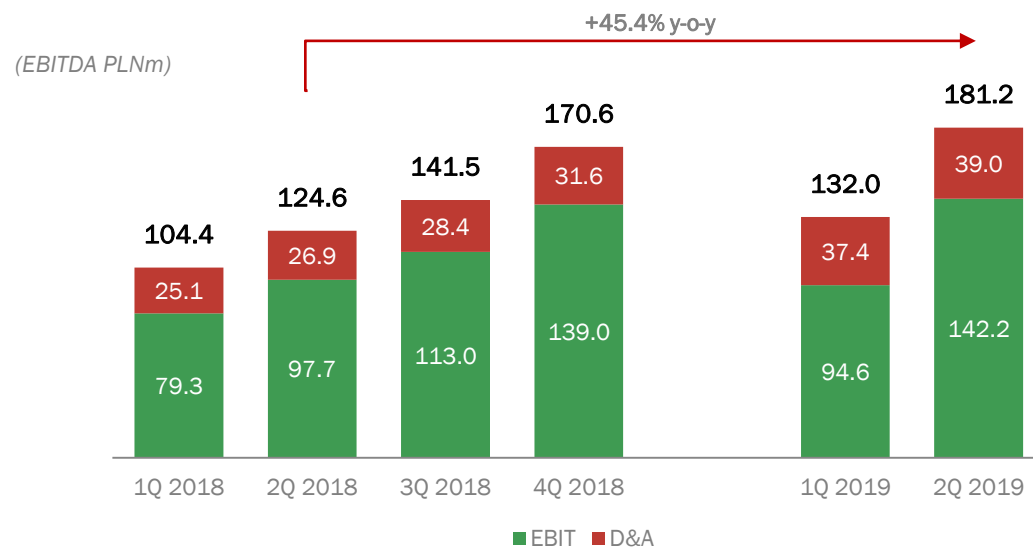
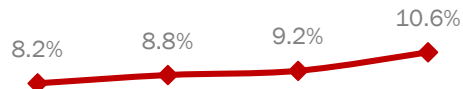
High revenue growth



Source: Company financial statements

Consistent growth in results and the EBITDA margin¹

EBITDA margin

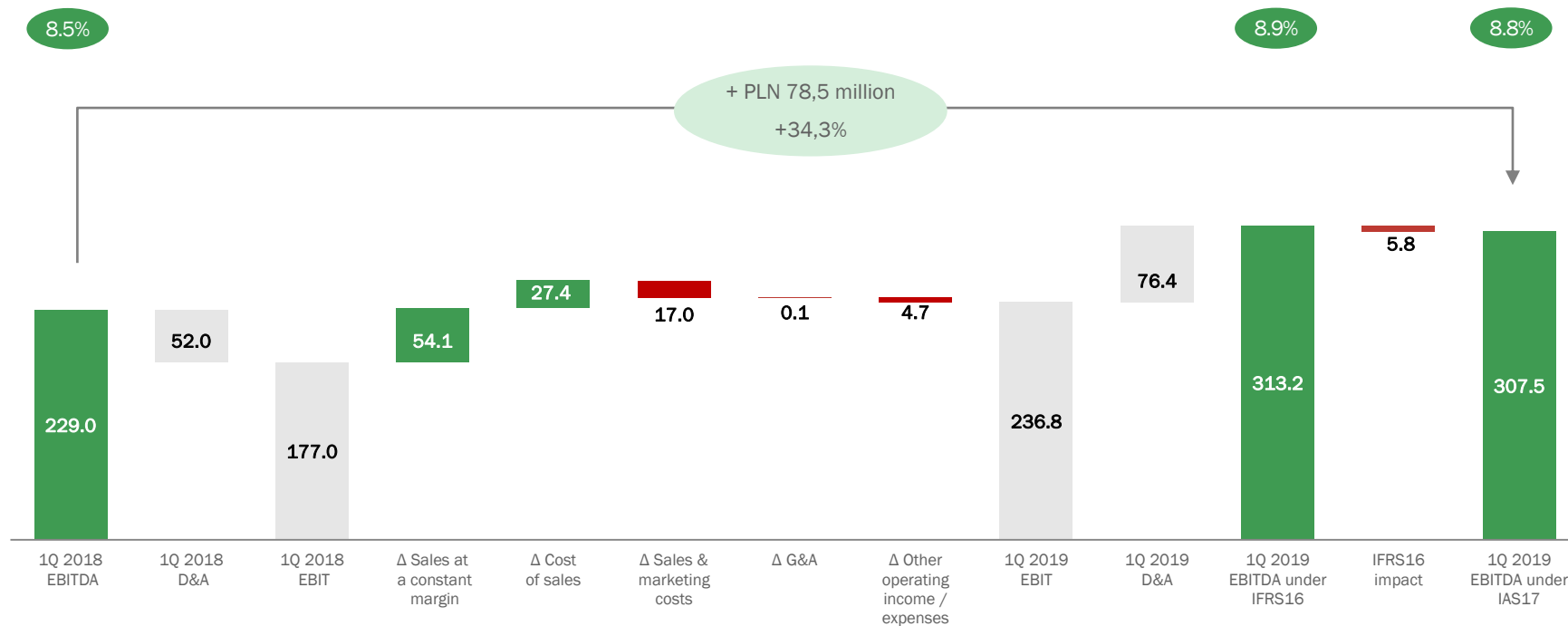


Source: Company financial statements

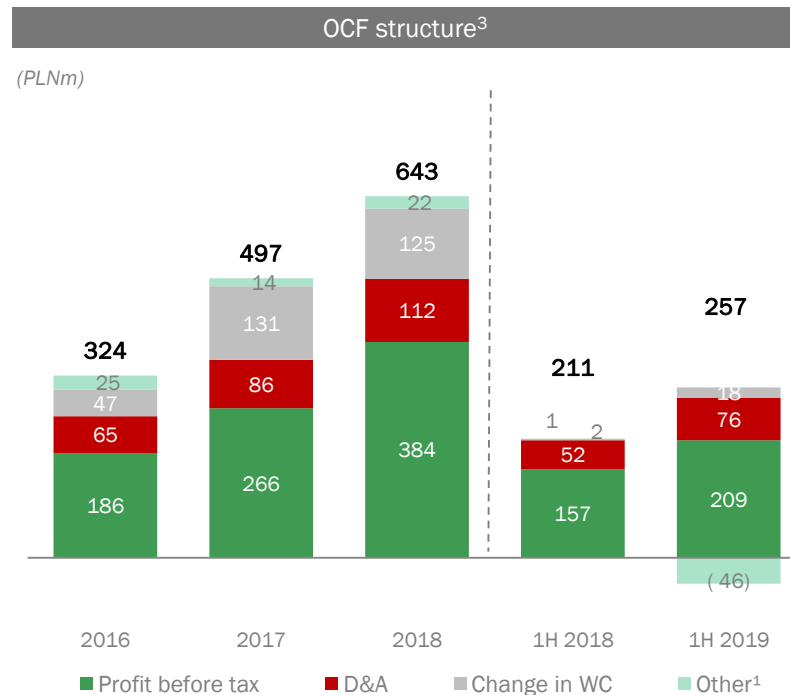
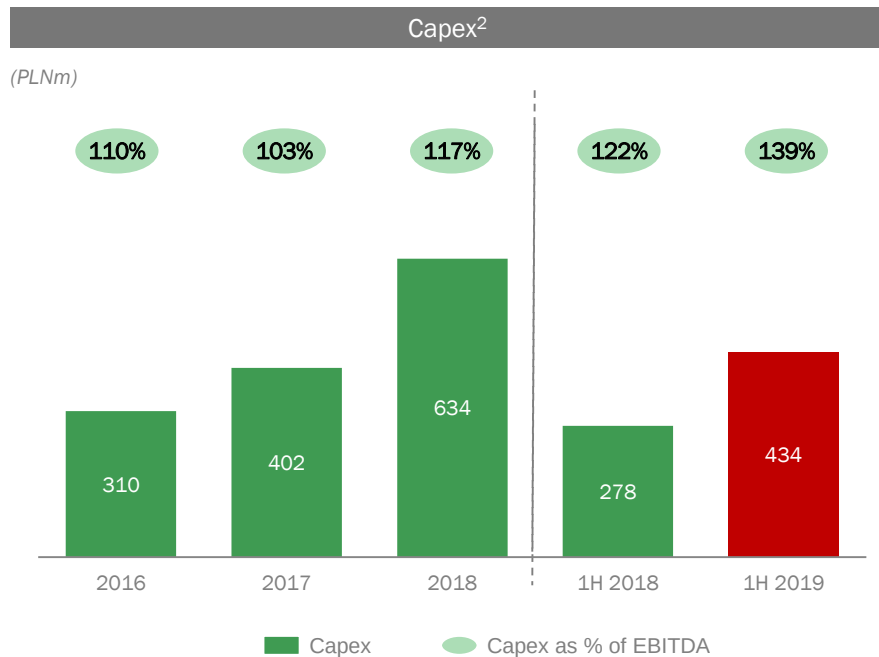
(1) Including IFRS16 impact (starting from 1Q 2019)

H1 2019: struktura wzrostu EBITDA

(mPLN)



Operating cash flow



Source: Company financial statements

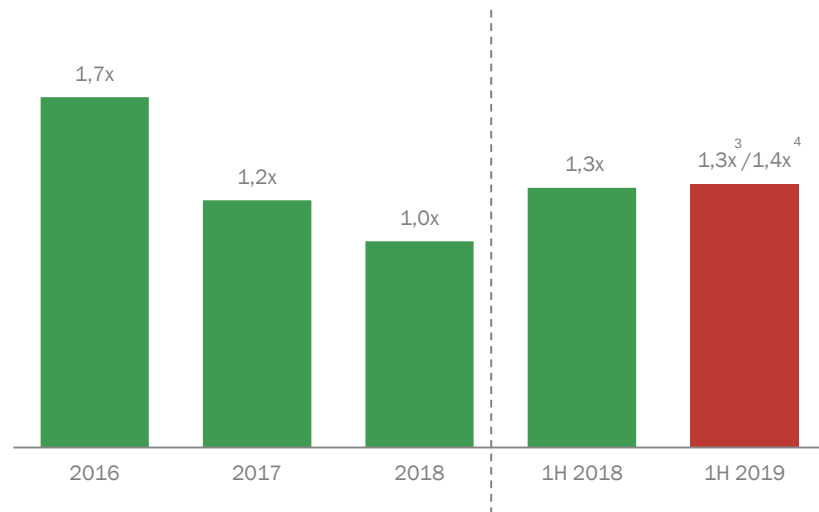
(1) Net interest expense, tax expense, change in accruals and provisions, investment activity gains and other adjustments

(2) Capex is presented as net cash from investing activities

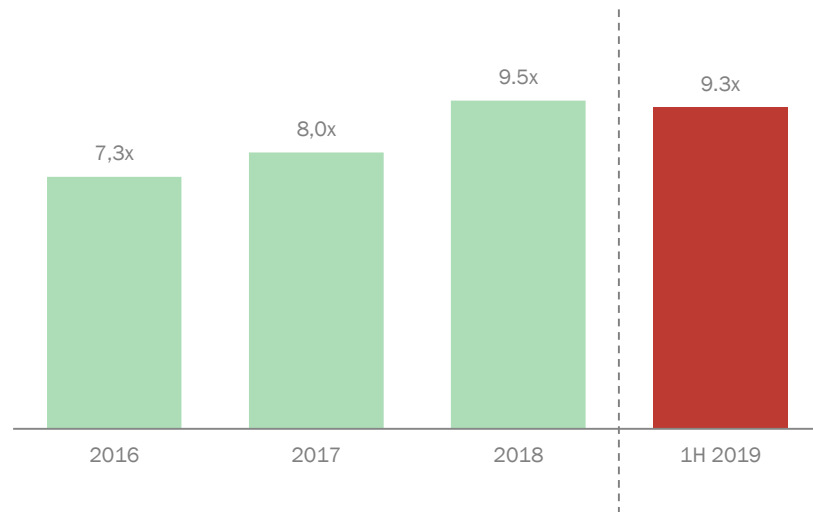
(3) Data for 2018 are restated

Balance sheet

Net debt / EBITDA⁽¹⁾



Interest coverage ratio⁽²⁾



Source: Company financial statements

(1) Net debt to EBITDA defined as net debt divided by EBITDA (adj.) for the last twelve months

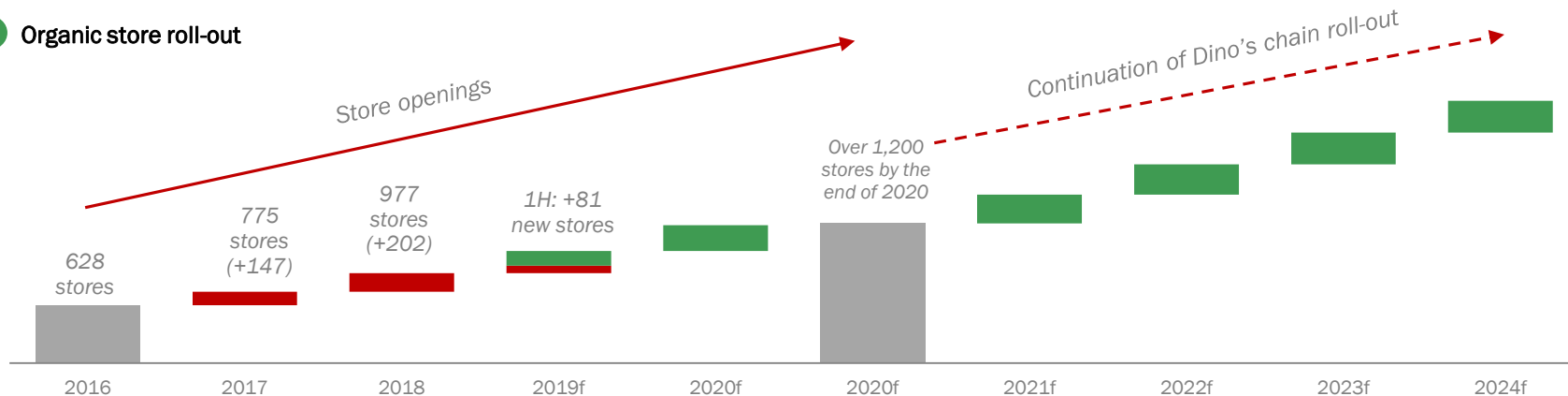
(2) Interest coverage ratio defined as EBIT divided by financial expenses for the last twelve months

(3) Under IAS17

(4) Under IFRS16

Strategy update

1 Organic store roll-out



2 LFL growth

11.1%
LFL growth in 1H 2019

3 Improving profitability

+ 0.24 pp¹ / +0.41 pp²
EBITDA margin improvement
in 1H 2019 y-o-y

Source: Company information
(1) Under IAS17
(2) Under IFRS16

Q&A



Company financial statements (1/5)¹

Profit and loss statement ²															
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018	1Q 2019	2Q 2019
Sales	2,108.0	2,589.6	3,320.6	4,462.8	5,838.5	897.8	1,095.1	1,206.4	1,263.5	1,271.3	1,409.8	1,543.9	1,613.5	1,560.5	1,939.7
Cost of sales	(1,644.1)	(2,004.7)	(2,550.1)	(3,422.2)	(4,426.1)	(689.2)	(845.4)	(923.7)	(963.8)	(973.8)	(1,076.5)	(1,167.2)	(1,208.5)	(1,177.0)	(1,472.2)
Gross profit	463.9	584.9	770.5	1,040.6	1,412.5	208.6	249.7	282.6	299.7	297.5	333.3	376.7	405.0	383.4	467.5
Other operating income	1.5	3.1	2.6	3.7	5.4	0.5	0.7	0.6	1.8	1.4	1.7	0.3	2.0	1.3	1.9
Selling and marketing costs	(324.6)	(391.6)	(505.9)	(678.7)	(933.7)	(149.7)	(160.7)	(183.1)	(185.1)	(206.3)	(222.8)	(248.4)	(256.1)	(273.2)	(303.9)
Administrative expenses and general overheads	(31.3)	(35.4)	(49.4)	(60.0)	(52.6)	(12.9)	(21.4)	(13.3)	(12.4)	(12.9)	(14.0)	(14.6)	(11.1)	(15.2)	(19.9)
Other operating expenses	(3.7)	(1.0)	(2.3)	(2.4)	(2.5)	(0.1)	(0.3)	(0.3)	(1.6)	(0.4)	(0.5)	(0.9)	(0.7)	(1.7)	(3.3)
Operating profit	105.8	160.1	215.6	303.2	429.0	46.3	68.1	86.4	102.4	79.3	97.7	113.0	139.0	94.6	142.2
Financial income	0.17	0.10	0.47	0.66	0.35	0.10	0.04	0.00	0.51	0.16	(0.02)	0.15	0.05	0.07	0.18
Financial expenses	(26.7)	(24.9)	(29.6)	(37.9)	(45.4)	(8.4)	(9.4)	(9.4)	(10.6)	(10.1)	(10.5)	(11.6)	(13.1)	(12.3)	(15.3)
Profit before tax	79.3	135.2	186.5	266.0	384.0	38.0	58.7	77.0	92.3	69.3	87.2	101.5	126.0	82.3	127.1
Income tax	(13.2)	(13.1)	(35.2)	(52.4)	(76.4)	(7.6)	(12.0)	(13.5)	(19.4)	(13.3)	(16.7)	(19.3)	(27.2)	(15.4)	(21.6)
Net profit from continuing operations	66.1	122.2	151.2	213.6	307.6	30.5	46.7	63.5	72.9	55.9	70.5	82.3	98.8	67.0	105.5

Source: Company financial statements

(1) Quarterly data unaudited

(2) Not adjusted for one-offs related to the IPO: PLN1,1m in 2Q '16; PLN2,7m in 3Q '16; PLN3,7m in 4Q '16; PLN3,0m in 1Q '17 and PLN9,3m in 2Q '17

Company financial statements (2/5)¹

Balance sheet															
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018	1Q 2019	2Q 2019
Assets															
Property, plant and equipment	798.9	1,024.2	1,337.2	1,697.6	2,347.0	1,386.4	1,497.0	1,593.2	1,697.6	1,787.7	1,931.4	2,090.4	2,347.0	2,570.5	2,738.6
Intangible assets	90.7	92.3	93.1	92.8	95.0	92.5	92.2	91.7	92.8	92.8	93.5	93.7	95.0	98.6	98.5
Other non-financial assets (long term)	1.89	-	-	0.03	0.02	-	-	0.03	0.03	0.03	0.03	0.02	0.02	0.02	0.02
Deferred tax assets	37.0	34.3	26.9	17.6	16.3	21.9	23.2	22.3	17.6	14.6	12.2	14.1	16.3	16.6	17.7
Total non-current assets	928.6	1,150.8	1,457.1	1,808.0	2,458.4	1,500.8	1,612.3	1,707.2	1,808.0	1,895.1	2,037.2	2,198.2	2,458.4	2,685.7	2,854.8
Inventories	182.3	212.1	276.5	368.3	445.4	290.7	306.9	294.5	368.3	351.5	376.4	376.5	445.4	451.5	489.1
Trade and other receivables	18.8	21.7	33.7	38.0	22.1	19.2	29.3	17.9	38.0	40.9	38.0	52.8	38.5	47.8	57.8
Income tax receivables	0.05	0.11	0.61	0.08	-	0.60	0.03	0.04	0.08	0.10	0.14	0.02	-	-	0.85
Other non-financial assets	13.5	20.7	22.4	34.4	76.5	32.4	36.9	27.9	34.4	44.4	45.9	57.7	76.5	98.4	40.5
Cash and cash equivalents	23.7	33.9	66.4	202.6	285.4	36.4	43.1	60.2	202.6	157.8	171.7	91.2	268.9	164.2	348.2
Total current assets	238.4	288.6	399.7	643.4	829.3	379.3	416.1	400.6	643.4	594.7	632.1	578.2	829.3	761.9	936.5
Total assets	1,167.0	1,439.4	1,856.8	2,451.3	3,287.7	1,880.1	2,028.4	2,107.9	2,451.3	2,489.8	2,669.3	2,776.4	3,287.7	3,447.6	3,791.3
Equity and liabilities															
Share capital	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8
Reserve capital	316.0	393.0	510.7	1,111.9	1,307.3	790.2	1,111.9	1,111.9	1,111.9	1,111.9	1,307.3	1,307.3	1,307.3	1,307.3	1,652.1
Retained earnings	84.2	129.4	163.0	(224.7)	(112.7)	(86.0)	(361.0)	(297.5)	(224.7)	(168.7)	(293.6)	(211.4)	(112.7)	(45.7)	(285.1)
Total equity	410.1	532.2	683.5	904.5	1,211.9	714.0	768.1	831.7	904.5	960.4	1,030.9	1,113.2	1,211.9	1,278.8	1,384.3

Source: Company financial statements

(1) Quarterly data unaudited; * Cash and cash equivalents' and 'Trade and other receivables' for 1Q 2018 - 1Q 2019 are restated in accordance with Note 5 of 1H 2019 report

Company financial statements (3/5) ¹

Balance sheet															
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018	1Q 2019	2Q 2019
Interest-bearing loans, borrowings and finance lease liabilities	286.0	361.8	452.4	470.6	585.3	487.2	508.5	490.6	470.6	502.7	537.3	521.5	585.3	752.3	745.6
Liabilities by virtue of outstanding securities	-	-	-	99.7	99.8	-	-	-	99.7	99.8	99.8	99.8	99.8	99.9	269.5
Other liabilities	-	-	0.3	0.3	0.2	0.3	0.3	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.2
Provisions for employee benefits	0.5	0.8	1.1	1.2	1.6	1.1	1.1	1.1	1.2	1.2	1.2	1.2	1.6	1.6	1.6
Deferred tax liabilities	1.6	0.6	5.5	3.5	5.9	6.2	6.3	3.4	3.5	7.1	8.2	11.3	5.9	15.6	10.6
Accruals	0.1	0.1	0.1	0.5	0.3	0.1	0.1	0.1	0.5	0.5	0.4	0.4	0.3	0.2	0.2
Total long-term liabilities	288.1	363.2	459.4	575.9	693.2	494.8	516.3	495.5	575.9	611.6	647.1	634.5	693.2	869.8	1,027.6
Trade and other payables	337.6	429.2	574.4	811.3	1,141.9	531.9	585.0	601.3	811.3	727.0	804.8	832.4	1,141.9	1,022.8	1,124.5
Current portion of interest-bearing loans and finance lease liabilities	118.2	101.5	110.2	117.1	148.7	112.5	124.9	147.4	117.1	145.3	134.9	134.8	148.7	186.1	190.8
Liabilities by virtue of outstanding securities	-	-	-	0.7	0.7	-	-	-	0.7	0.6	0.6	0.6	0.7	0.6	0.7
Income tax liabilities	4.6	3.4	10.3	20.7	67.00	4.2	15.5	14.4	20.7	20.2	21.5	33.1	67.0	62.0	31.9
Accruals	8.3	9.8	13.2	20.8	23.8	14.8	18.3	17.4	20.8	24.3	29.0	27.3	23.8	26.9	30.9
Provisions for employee benefits	0.05	0.07	5.89	0.35	0.54	7.84	0.23	0.23	0.35	0.35	0.35	0.35	0.54	0.54	0.54
Total current liabilities	468.8	543.9	714.0	971.0	1,382.6	671.3	744.0	780.7	971.0	917.7	991.2	1,028.6	1,382.6	1,299.0	1,379.3
Total liabilities	756.9	907.1	1,173.4	1,546.8	2,075.8	1,166.1	1,260.3	1,276.2	1,546.8	1,529.3	1,638.4	1,663.1	2,075.8	2,168.7	2,406.9
Total equity and liabilities	1,167.0	1,439.4	1,856.8	2,451.3	3,287.7	1,880.1	2,028.4	2,107.9	2,451.3	2,489.8	2,669.3	2,776.4	3,287.7	3,447.6	3,791.3

Source: Company financial statements
(1) Quarterly data unaudited

Company financial statements (4/5)¹

Cash flow

(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018	1Q 2019	2Q 2019
Cash flows from operating activities															
Profit before tax	79.3	135.2	186.5	266.0	384.0	38.0	58.7	77.0	92.3	69.3	87.2	101.5	126.0	82.3	127.1
Adjustments for	109.2	110.2	137.9	231.2	250.5	(7.0)	35.6	59.7	142.9	(20.7)	75.5	44.8	159.8	(66.1)	114.1
Depreciation and amortization	41.9	50.2	65.2	85.9	112.1	19.2	20.4	22.5	23.8	25.1	26.9	28.4	31.6	37.4	39.0
Gain/(loss) from investing activities	0.4	0.2	1.6	1.3	1.4	0.0	0.2	0.2	0.94	0.3	0.3	0.6	0.3	0.9	0.4
Change in the balance of receivables	59.0	(10.8)	(15.6)	(16.8)	(25.7)	13.7	(17.3)	18.4	(31.5)	21.7	0.3	(27.9)	(11.0)	(16.3)	45.6
Change in the balance of inventories	25.5	(29.9)	(64.4)	(91.7)	(77.1)	(14.2)	(16.2)	12.4	(73.7)	16.8	(24.9)	(0.1)	(68.9)	(6.1)	(37.6)
Change in the balance of payables except loans and borrowings	(45.5)	84.2	127.2	239.7	219.0	(23.7)	37.6	13.1	212.7	(80.7)	68.5	38.6	192.6	(71.7)	103.6
Interest income	(0.2)	(0.1)	(0.4)	(0.5)	(0.3)	(0.0)	(0.02)	(0.0)	(0.4)	(0.1)	(0.1)	(0.2)	(0.0)	(0.1)	(0.1)
Interest expenses	26.5	25.0	29.7	38.1	45.4	8.5	9.5	9.4	10.7	10.1	10.5	11.6	13.2	12.3	15.3
Change in the balance of accruals	3.0	3.9	4.9	7.3	1.9	(4.5)	2.8	0.4	8.6	(6.5)	5.8	0.0	2.6	(11.6)	6.5
Change in the balance of provisions	0.2	0.1	6.2	(5.4)	0.5	1.9	(7.6)	-	0.2	-	-	-	0.5	-	-
Income tax paid	(1.6)	(12.6)	(16.5)	(34.1)	(26.4)	(7.9)	(1.3)	(16.7)	(8.3)	(7.3)	(11.9)	(6.3)	(0.8)	(11.1)	(58.6)
Other	(0.02)	(0.01)	0.04	7.4	(0.22)	0.0	7.5	-	(0.11)	-	-	-	(0.2)	-	-
Net CF from operating activities	188.5	245.4	324.3	497.2	634.5	31.0	94.2	136.8	235.2	48.6	162.6	146.3	285.8	16.2	241.2

Company financial statements (5/5)¹

Cash flow															
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018	1Q 2019	2Q 2019
Cash flows from investing activities															
Proceeds from sale of property, plant and equipment and intangibles	0.4	0.9	1.1	8.0	1.6	0.1	1.1	6.4	0.4	0.7	0.2	(0.3)	1.0	0.4	0.1
Purchase of property, plant and equipment and intangibles	(170.7)	(243.5)	(311.7)	(410.6)	(635.9)	(83.0)	(89.3)	(113.3)	(125.0)	(119.0)	(160.5)	(194.4)	(162.0)	(241.7)	(193.4)
Sell of other financial assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest received	0.2	0.1	0.4	0.5	0.3	0.0	0.0	0.0	0.4	0.1	0.1	0.2	0.0	0.1	0.1
Net CF from investing activities	(170.2)	(242.5)	(310.2)	(402.1)	(634.0)	(82.9)	(88.2)	(106.8)	(124.2)	(118.3)	(160.2)	(194.6)	(161.0)	(241.2)	(193.1)
Cash flows from financing activities															
Payment of financial lease liabilities	(24.5)	(30.0)	(43.9)	(51.9)	(46.4)	(9.8)	(14.8)	(12.4)	(15.0)	(11.2)	(10.9)	(11.1)	(13.2)	(11.9)	(16.8)
Proceeds from loans and borrowings	111.7	141.8	219.1	117.3	373.9	57.5	41.4	24.1	(5.6)	89.7	124.2	12.1	148.0	206.5	94.2
Repayment of loans and borrowings	(72.8)	(79.5)	(127.1)	(86.8)	(199.8)	(17.4)	(16.5)	(15.0)	(37.9)	(18.2)	(91.3)	(21.5)	(68.8)	(62.8)	(96.6)
Issue of debt securities	-	-	-	100.0	-	-	-	-	100.0	-	-	-	-	-	170.0
Interest paid	(26.5)	(25.0)	(29.7)	(37.4)	(45.4)	(8.5)	(9.5)	(9.4)	(10.0)	(10.1)	(10.5)	(11.6)	(13.2)	(11.7)	(14.9)
Net CF from financing activities	(12.1)	7.3	18.4	41.1	82.3	21.8	0.6	(12.8)	31.5	50.2	11.4	(32.2)	52.9	120.2	135.9
Net increase/(decrease) in cash and cash equivalents	6.2	10.2	32.5	136.2	82.7	(30.0)	6.6	17.2	142.4	(19.5)	13.8	(80.4)	177.7	(104.8)	184.0
Cash and cash equivalents at the beginning of the period	17.5	23.7	33.9	66.4	202.6	66.4	36.4	43.1	60.2	177.3	157.8	171.7	91.2	268.9	164.2
Cash and cash equivalents at the end of the period	23.7	33.9	66.4	202.6	285.4	36.4	43.1	60.2	202.6	157.8	171.7	91.2	268.9	164.2	348.2

Source: Company financial statements

(1) Quarterly data unaudited; Net increase/(decrease) in cash and cash equivalents and Cash and cash equivalents at the beginning and at the end of the period for 1Q 2018 - 1Q 2019 are restated in accordance with Note 5 of 1H 2019 report

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